

HS 125 End Semester Examination

F.M.: 60

Answer any four questions: (15x4=60)

1. In a Mundell-Fleming model with perfect capital mobility, explain how the commitment to maintain a fixed exchange rate makes money stock endogenous. In this set-up, what kind of policy would be effective in a fixed exchange rate regime?
2. In a Mundell-Fleming model with perfect capital mobility, explain the consequence of an expansionary domestic monetary policy under flexible exchange rate regime.
3. Briefly explain the reasons behind wage and price stickiness.
4. Derive the Aggregate Supply curve from Phillip's curve.
5. Using the concept of expectations augmented Phillip's curve establish the wage-employment relationship. What is meant by stagflation?
6. When is monetary policy said to be accommodating? With the help of an *IS-LM* framework, explain the working of an investment subsidy.